

RESEARCH NOTE

Q2 2026 Global Market Outlook | Document ID: RN-001

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1. Executive Summary

Global markets enter the second quarter of 2026 navigating a more balanced macro backdrop than the volatility experienced in Q1. Growth indicators across major developed economies have stabilized, though regional divergence persists. The research desk's central view favors a diversified, moderately defensive posture for client portfolios pending greater clarity on monetary policy trajectories in the back half of the year.

This expanded edition incorporates additional detail across regional analysis, currency markets, commodity sub-sectors, and a structured scenario framework intended to support RMs in addressing a broader range of client questions during Q2 portfolio review conversations, while preserving the same core house view articulated in the initial publication.

The desk's overall framework for this quarter's outlook rests on three pillars: first, a recognition that the Q1 volatility episode, while material, has shown meaningful signs of resolution rather than escalation, as detailed in Section 2; second, a continued emphasis on diversification and quality across both equity and fixed income allocations, given the residual uncertainty around the precise policy rate trajectory described in Section 2.3; and third, a recognition that sector-level dispersion, particularly within technology and applied AI infrastructure, warrants selective rather than broad-based positioning, consistent with the more detailed treatment in the Sector Deep Dive research note (Document RN-002).

2. Macro Backdrop

Following the rate volatility episode in March 2026, which contributed to drawdowns across several fund strategies on the firm's shelf, conditions have steadied. Labor markets in major developed economies remain resilient, though hiring momentum has moderated from the elevated pace of recent years. Inflation readings have trended toward central bank targets in most major economies, but progress has been uneven, particularly in services-sector inflation components.

2.1 Growth Indicators

Leading economic indicators across major developed economies present a mixed but broadly stabilizing picture. Manufacturing activity indices have shown signs of stabilization following a period of softness, while services sector activity has remained comparatively resilient throughout the period covered by this note. Consumer spending patterns have moderated from the elevated pace observed in prior periods but have not shown signs of the sharper deceleration that would typically be associated with a more pronounced economic slowdown.

2.2 Labor Market Conditions

Labor market conditions across major developed economies have remained a relative source of stability amid the broader macro volatility referenced above. Unemployment rates have remained near historically low levels in most major economies, though job openings and hiring rates have moderated from previously elevated levels, consistent with a broader normalization in labor market conditions following the unusually tight conditions observed in recent years.

2.3 Inflation Dynamics

Headline inflation readings have continued to trend toward central bank target levels across most major developed economies, though the pace of this convergence has varied meaningfully by region and by inflation component. Goods price inflation has generally moderated more consistently than services price inflation, with the latter remaining somewhat sticky in several major economies, a dynamic the desk continues to monitor closely given its relevance to the policy rate path discussion in the Fixed Income Outlook (Document RN-003).

3. Regional Analysis

3.1 United States

The U.S. economy has demonstrated continued resilience through the period covered by this note, with consumer spending and labor market conditions remaining relatively firm despite the broader rate volatility backdrop. The desk continues to monitor the trajectory of corporate earnings growth as a key input into the desk's equity market views, particularly given the elevated valuation levels discussed in Section 4.

3.2 Europe

European economic conditions present a more varied picture across the region, with certain economies demonstrating greater resilience than others. Energy market dynamics, while less acute than in prior periods of significant disruption, continue to represent a relevant consideration for the region's growth and inflation trajectory. The desk maintains a measured stance on European equity exposure, favoring selective rather than broad-based regional allocation given this continued dispersion across individual European economies.

3.3 Asia-Pacific and Emerging Markets

Asia-Pacific economies present a similarly varied picture, with some economies in the region demonstrating robust growth trajectories while others navigate more challenging conditions tied to specific structural or cyclical factors. The desk's emerging market views, discussed further in Section 4 with respect to equities and in the Fixed Income Outlook (Document RN-003) with respect to emerging market debt, generally favor selective rather than broad-based exposure given the structural heterogeneity across emerging market economies.

4. Equity Markets

- Developed market equities trade near the upper end of their 2-year valuation range; the desk favors quality and balance-sheet strength over pure momentum exposure.

- Emerging market equities present a more attractive relative valuation, though currency volatility and idiosyncratic policy risk in several key markets warrant selective rather than broad-based exposure.
- Sector dispersion remains elevated, with technology and applied AI infrastructure names continuing to command premium valuations relative to the broader index (see Research Note RN-002 for sector-specific detail).

4.1 Valuation Context

Forward earnings multiples for major developed market equity indices remain above their respective 10-year historical averages, though the desk notes that valuation levels alone have historically proven to be a poor short-term market timing signal, and the desk does not use valuation level in isolation as a basis for tactical positioning recommendations. Rather, the desk weighs valuation alongside earnings growth trajectory, interest rate environment, and broader macro conditions in forming its overall equity market view.

4.2 Style and Factor Considerations

Within equity markets, the desk continues to observe meaningful performance dispersion across style factors, with growth-oriented equities generally commanding premium valuations relative to value-oriented equities, consistent with the broader technology and AI infrastructure theme discussed in the Sector Deep Dive research note (Document RN-002). The desk's house view favors a balanced approach across style factors within client equity allocations, consistent with the diversified approach embedded in core multi-asset holdings such as HBGF.

5. Fixed Income Markets

Sovereign yield curves have partially normalized following the Q1 volatility, though the desk continues to favor intermediate duration positioning over long-duration exposure given residual policy uncertainty. Investment-grade credit spreads remain range-bound and offer reasonable carry; high-yield spreads have widened modestly, which we view as a healthy repricing rather than a stress signal. For greater detail, RMs should reference the dedicated Fixed Income Outlook (Document RN-003).

6. Currencies and Commodities

6.1 Currency Markets

The US dollar has traded in a relatively narrow range against major currency pairs over the quarter to date, reflecting a period of relative stability in relative monetary policy expectations across major economies following the more pronounced currency volatility observed during the Q1 rate shock episode. The desk's currency view remains closely tied to the relative policy rate trajectory across major economies discussed in Section 2.3 and in the Fixed Income Outlook (Document RN-003).

6.2 Commodity Markets

Commodity markets have been mixed over the period covered by this note. Energy prices have reflected broadly balanced supply-demand dynamics, without the acute disruption observed during

certain prior periods. Precious metals have continued to attract demand as a portfolio diversifier amid lingering macro uncertainty, consistent with their traditional role in client portfolios as a hedge against both inflation and broader macro or geopolitical risk. Industrial metals have shown a more mixed performance picture, reflecting the varied regional growth dynamics discussed in Section 3.

7. Portfolio Positioning Recommendations

For RM preparation purposes, the desk's house view supports the following general positioning themes, subject to individual client suitability checks:

- Conservative profiles: maintain core allocation to high-grade fixed income (e.g., HCIF) with limited equity satellite exposure.
- Balanced profiles: core multi-asset exposure (e.g., HBGF) remains appropriate; avoid material duration extension.
- Growth and Aggressive profiles: selective satellite exposure to growth equity strategies (e.g., HAEF) remains supportable for clients with appropriate time horizon, subject to sector concentration limits.

7.1 Rebalancing Considerations for Q2

Given the Q1 volatility episode referenced throughout this note, the desk encourages RMs to use Q2 client reviews as an opportunity to assess whether client portfolios have drifted meaningfully from their strategic target allocations, consistent with the rebalancing considerations discussed in the Fixed Income Outlook (Document RN-003, Section 14.2). Material drift from target allocations, in either direction, may warrant a rebalancing conversation independent of any specific new product recommendation.

8. Key Risks to the Outlook

- A renewed inflation surprise that forces central banks into a more aggressive tightening stance than currently anticipated.
- Escalation of geopolitical tensions affecting trade flows or energy markets.
- A sharper-than-expected slowdown in labor markets that pressures consumer spending.
- Valuation compression in technology and AI-infrastructure-linked equities if capital expenditure plans are revised downward by major hyperscale providers.

8.1 Risk Monitoring Framework

The desk maintains an ongoing risk monitoring framework tracking each of the risk factors identified above, alongside additional secondary risk factors including credit market functioning, currency market volatility, and regional political developments that could affect the desk's central macro view. Material developments across any of these monitored risk factors may prompt an interim research update outside the normal quarterly publication cycle, consistent with the firm's broader approach to timely research communication during periods of elevated market uncertainty.

9. Cross-Asset Correlation Considerations

Beyond the asset-class-specific views described in Sections 4 through 6, the desk separately monitors cross-asset correlation dynamics, since shifts in the typical correlation relationships between equities, fixed income, and other asset classes can have meaningful implications for diversified multi-asset portfolio construction, independent of the absolute return outlook for any single asset class.

9.1 Equity-Fixed Income Correlation

The traditional negative or low-positive correlation between equity and fixed income returns, which underpins the diversification benefit embedded in multi-asset products such as HBGF, has shown some variability during periods of significant rate volatility, including the March 2026 episode referenced throughout this note. During periods when both equity and fixed income markets are primarily driven by shifting interest rate expectations rather than idiosyncratic equity market or credit market dynamics, the typical diversification benefit between these two asset classes can be temporarily reduced, a dynamic the desk continues to monitor as part of its broader multi-asset portfolio construction process.

9.2 Currency and Asset Class Interactions

Currency market movements, discussed in Section 6.1, can interact with both equity and fixed income returns for client portfolios with material non-base-currency exposure. The desk's overall approach to currency risk management within multi-asset products, described in the relevant product guides such as the Balanced Growth Fund (Document PG-001, Section 5.2), generally favors selective rather than blanket currency hedging, reflecting the desk's view that currency exposure can itself provide diversification benefits within a broader multi-asset context, even though it introduces an additional source of return variability.

10. Sector-Level Observations Beyond Technology

While the technology and applied AI infrastructure theme, covered in detail in the Sector Deep Dive research note (Document RN-002), represents a significant focus of current investor attention, the desk maintains views across the broader sector landscape relevant to diversified equity positioning.

10.1 Financials

The financial sector has continued to benefit from a generally constructive backdrop for net interest margins, alongside continued balance sheet strengthening discussed in the Fixed Income Outlook (Document RN-003, Section 9.1) from a credit perspective. The desk views the financial sector as offering a reasonable combination of valuation and fundamental quality within the broader developed market equity universe at this point in the cycle.

10.2 Healthcare

The healthcare sector, which features prominently within the Aggressive Equity Fund's allocation to healthcare innovation and biotechnology (Document PG-003, Section 3.1), continues to benefit from structural demographic tailwinds across major developed economies, alongside company-specific innovation cycles within specific therapeutic areas. The desk notes that the sector's blend of defensive

characteristics, through broad-based healthcare demand, and growth characteristics, through innovation-driven sub-segments, provides a useful diversification complement within growth-oriented equity allocations.

10.3 Energy and Materials

The energy and materials sectors continue to navigate the broader structural themes associated with the global energy transition, alongside the more immediate cyclical dynamics tied to global growth conditions discussed in Section 2. The desk maintains a measured, rather than concentrated, stance on these sectors within diversified client portfolios, reflecting both the structural uncertainty associated with the energy transition timeline and the sectors' historically higher cyclical relative to broader market averages.

11. Illustrative Scenario Framework for Q2-Q3 2026

The following section provides a qualitative scenario framework intended to support RM client conversations about how the desk's positioning views might evolve under different illustrative macroeconomic paths over the remainder of 2026. These are qualitative directional scenarios only, not specific return forecasts, and must not be presented to clients as predictions.

11.1 Illustrative Scenario: Continued Stabilization

Under a scenario of continued macro stabilization consistent with the desk's central view described in Section 1, the desk would generally expect to maintain its current moderately defensive, diversified positioning stance, with potential for selective increases in risk asset exposure should growth and inflation data continue to validate the stabilization narrative over the coming quarter.

11.2 Illustrative Scenario: Renewed Volatility

Under a scenario of renewed market volatility, whether driven by an inflation surprise, geopolitical development, or other risk factor described in Section 8, the desk would generally expect to reinforce its quality and diversification tilt across both equity and fixed income allocations, consistent with the defensive positioning themes described in Section 7, while avoiding wholesale de-risking that could cause client portfolios to miss a subsequent recovery.

11.3 Illustrative Scenario: Broad-Based Growth Reacceleration

Under a less likely but still plausible scenario of broad-based growth reacceleration across major developed economies, the desk would likely reassess its current moderately defensive positioning stance, potentially supporting increased allocation to growth-oriented equity strategies for clients with appropriate risk profiles, subject to the standard suitability and concentration limit checks described in the Suitability & Compliance Policy.

12. Frequently Asked Client Questions (RM Reference)

Q: "Should I be worried about another volatility episode like March 2026?" — A: RMs should avoid making specific predictions about future volatility events, instead emphasizing that the client's portfolio is constructed consistent with their documented risk profile specifically to navigate periods of market

volatility, and that diversification across asset classes, described throughout this note, is designed to help moderate, though not eliminate, the impact of such events.

Q: “Why isn't the desk more bullish given the market's recent recovery?” — A: RMs should explain that the desk's moderately defensive positioning reflects a balanced assessment of both the stabilizing macro backdrop described in Section 2 and the residual risks described in Section 8, rather than a purely bearish or bullish single-factor view.

Q: “How does this outlook affect my specific fund holdings?” — A: RMs should connect the desk's asset-class-level views in this note to the client's specific holdings, referencing the relevant product guide for funds such as HBGF, HCIF, or HAEF to explain how each fund's mandate and strategic positioning relates to the broader market themes described in this note.

13. Glossary of Macro and Market Terms

Yield Curve Normalization: A shift in the relationship between bond yields and their respective maturities toward a more typical upward-sloping shape, discussed further in the Fixed Income Outlook (Document RN-003, Section 2.1).

Active Share: A measure of how much a fund's holdings differ from its benchmark index, relevant to understanding concentrated strategies such as HAEF, discussed in that fund's product guide.

Look-Through Exposure: The underlying asset-class, sector, or issuer exposure embedded within a fund holding, relevant to assessing true portfolio-level concentration across a client's full set of holdings, as described in the Suitability & Compliance Policy.

Flight-to-Quality: A market dynamic in which investors shift capital toward higher-quality assets during periods of stress, discussed further in the Fixed Income Outlook (Document RN-003, Section 12).

14. RM Action Checklist for Q2 Portfolio Reviews

To support consistent application of this note's findings during Q2 client portfolio reviews, the desk provides the following structured checklist for RMs.

- Confirm the client's current risk profile tier and time horizon are on file and current, per the Client Risk Profiling Methodology (Document CMP-003).
- Assess whether the client's current portfolio allocation has drifted materially from strategic targets following the Q1 volatility episode, per the rebalancing considerations in Section 7.1.
- Review the client's aggregate sector concentration, particularly technology sector exposure, against the limits described in the Restricted List (Document CMP-002, Rule-002), informed by the sector observations in Sections 4 and 10.
- Where relevant to the client's specific holdings, reference the Fixed Income Outlook (Document RN-003) for more granular fixed income positioning detail beyond the summary in Section 5.

- Where relevant to the client's specific holdings, reference the Sector Deep Dive research note (Document RN-002) for more granular technology sector detail beyond the summary in Section 4.
- Document the conversation and any resulting recommendation in the client file, including citation to this research note where relevant, consistent with the firm's audit and logging requirements.

15. Historical Context: Comparison to Prior Q1-to-Q2 Transitions

For RM context, the desk offers the following illustrative historical framing regarding prior periods of Q1 market volatility followed by Q2 stabilization. This is provided for qualitative pattern context only and should not be presented to clients as a specific forecast of how the current period will continue to evolve.

15.1 Pattern Observation: Volatility Episode Followed by Stabilization

Prior periods in which a discrete Q1 volatility episode was followed by a period of relative stabilization in subsequent quarters have historically shown a range of subsequent market outcomes, from continued gradual recovery to renewed volatility depending on whether the underlying causes of the initial episode were durably resolved or merely temporarily addressed. The desk's current assessment, described in Section 2, is that the underlying drivers of the March 2026 episode have shown meaningful, though not complete, resolution, supporting the moderately constructive elements of the desk's current positioning stance described in Section 7.

15.2 Pattern Observation: Sector Leadership Persistence

Historical patterns regarding sector leadership persistence following a market volatility episode have been mixed, with some episodes showing continued leadership from pre-episode sector winners and others showing more pronounced sector rotation during the subsequent recovery phase. The desk's current view, reflecting the sector observations in Sections 4 and 10, does not assume a specific sector leadership pattern will necessarily persist, supporting the desk's preference for diversified rather than concentrated sector positioning across client portfolios at this stage of the cycle.

17. Implications for Specific Client Profile Conversations

Beyond the general positioning themes described in Section 7, this section provides additional profile-specific framing to support RM conversations across the full range of client risk tiers.

17.1 Conservative Profile Clients

For Conservative profile clients, the desk's current outlook reinforces the importance of maintaining the core high-grade fixed income allocation described in Section 7, with RMs encouraged to use Q2 conversations to confirm clients remain comfortable with their current allocation in light of the Q1 volatility episode, rather than assuming the episode has not affected client risk perception even where the client's documented risk profile has not changed.

17.2 Balanced Profile Clients

For Balanced profile clients, the desk's outlook supports continued core allocation to diversified multi-asset holdings such as HBGF, with RMs encouraged to reference the cross-asset correlation considerations in Section 9 when explaining how such holdings are designed to navigate periods of shifting correlation dynamics between equity and fixed income markets.

17.3 Growth and Aggressive Profile Clients

For Growth and Aggressive profile clients, the desk's outlook supports continued selective exposure to growth-oriented strategies such as HAEF, subject to the standard concentration limit checks described throughout this note, with RMs encouraged to use Q2 conversations as an opportunity to confirm satellite allocations remain appropriately sized relative to each client's overall portfolio, consistent with the satellite-holding framework described in the relevant product guides.

18. Desk Conclusion

The research desk enters Q2 2026 with a constructive but not complacent stance, favoring diversification, quality, and disciplined adherence to client risk profiles over chasing recent winners. This note is intended to support RM preparation for client discussions and does not constitute a recommendation for any specific client without a completed suitability check.

19. Comparison to Prior Quarter Outlook

RMs referencing this note alongside the firm's prior quarterly outlook publication should note the following key changes in the desk's positioning stance. The desk's overall risk posture has shifted modestly toward a more constructive stance relative to the immediate post-Q1-volatility period, reflecting the stabilization in growth and labor market indicators described in Sections 2.1 and 2.2, though the desk's positioning remains more defensive than the stance maintained prior to the March 2026 episode, reflecting the residual policy uncertainty described in Section 2.3 and the elevated valuation considerations described in Section 4.1.

The desk's regional views, described in Section 3, have also evolved modestly relative to the prior quarter, with a somewhat more constructive stance on selective Asia-Pacific exposure balanced against continued measured caution on broad-based European regional exposure, reflecting the continued dispersion across individual European economies referenced in Section 3.2. RMs should treat this comparison as a useful tool for explaining the evolution of the desk's thinking to clients who engage with the firm's research on an ongoing, quarter-over-quarter basis, rather than as a standalone section requiring separate client distribution.

Appendix A: Data Sources and Methodology Note

This research note draws on a combination of public macroeconomic data releases, market pricing data, and the desk's proprietary analytical frameworks for synthesizing this information into actionable positioning views for RM use. The desk's macro views are formed through a structured weekly research review process involving the full research team, incorporating both quantitative data analysis and qualitative judgment regarding the relative weight to assign to different, sometimes conflicting, data signals.

The desk explicitly does not rely on any single data source or model output as a mechanical trading or positioning signal; rather, the views expressed throughout this note represent the synthesized judgment of the research team, informed by but not dictated by quantitative inputs. This methodology note is provided for RM context and to support transparency regarding how the desk's published views are formed, and may be referenced, in general terms, with sophisticated clients who ask about the basis for the firm's research views.